Special Incentive Package Scheme (M-SIPS) to eliminate disability costs in manufacturing on account of infrastructure gaps relating to power, transportation, etc., and mitigate the relatively high cost of finance'. It also spoke of 'setting up of semiconductor wafer fab facilities and its ecosystem for design and fabrication of chips and chip components'. All the usual measures of 'giving preference to domestically produced electronic products', 'incentives for setting up over 200 electronic manufacturing clusters (EMCs)', 'development of appropriate infrastructure', a 'fairly stable tax regime conducive to attract global investments and encourage the electronics sector' and a 'Fund of Funds' were also promised.

The policy did not achieve its objectives though the share of India in global electronics manufacture went up from 1.3 per cent in 2012 to about 3 per cent in 2018. Electronic imports exceeded $50 billion in 2019–20 with 40 per cent coming from China. Though there has been notable progress in mobile handset manufacturing, the domestic electronics industry is still not worth $75 billion.

National Policy on Electronics, 2019 (NPE-2019)

NPE-2019 is largely an updated version of NPE-2012 with some refinement. The target of $400 billion turnover in electronics manufacture, which was to be achieved by 2020, has been pushed to 2025. The policy relies heavily on the manufacture of mobile handsets (1 billion handsets; $190 billion turnover).

NPE-2019 chronicles the poor progress in most measures initiated under NPE-2012. For instance, 134 units assisted under the M-SIPS made a capital investment of $1.3 billion and achieved a turnover of about $10 billion. Though twenty greenfield EMCs and three brownfield clusters were 'sanctioned', none seem to have become functional. The amount committed by the Electronics Development Fund, the Fund of Funds set up to